Vodafone Group Plc: Credit Metrics and Euro DCM Issuance Walkthrough

Supports the companion credit note (Vodafone_Credit_Note, delivered as a separate .docx/.pdf) and prices an illustrative new euro 10-year off Vodafone's own bond curve.

Purpose

16 October 2026. Financials: FY26 (year to 31 March 2026) results of 12 May 2026 and the Q1 FY27 update of 27 July 2026. Bond quotes: Boerse Stuttgart, 15-16 Oct 2026 (two quotes dated 30 Sep are flagged on Comps).

As of

Blue = hardcoded, sourced input. Black = formula. Green = link to another sheet. Yellow fill = judgement or stale-data cell worth challenging.

Colour code

Anchor on Vodafone's own secondary curve (spread to Bunds, interpolated to 10 years), add a new issue concession, then cross-check against peers and a curve regression. Peer data is a check, not an input to the price.

Pricing method

Euro corporates are marketed over mid-swaps, but no public source for live swap rates was available, so the build is in Bund spreads, the basis the exchange data uses. Converting needs the 10-year swap-to-Bund basis.

Quoting basis

Net debt follows Vodafone's definition (half of hybrids counted as debt). Safaricom net debt comes from its FY2026 balance sheet and may include leases. FY27 free cash flow after dividends is not rolled into pro forma net debt.

Scope

Reported inputs (EUR m unless stated)

Item	FY25	FY26	Unit	Source
Revenue	37,448	40,461	EUR m	*Vodafone FY26 preliminary results RNS, 12 May 2026 (data.fca.org.uk NSM)*
Service revenue	30,758	33,480	EUR m	*Vodafone FY26 preliminary results RNS, 12 May 2026 (data.fca.org.uk NSM)*
Adjusted EBITDAaL	10,932	11,351	EUR m	*Vodafone FY26 preliminary results RNS, 12 May 2026 (data.fca.org.uk NSM)*
Capital additions	6,862	7,291	EUR m	*Vodafone FY26 preliminary results RNS, 12 May 2026 (data.fca.org.uk NSM)*
Adjusted free cash flow	2,548	2,621	EUR m	*Vodafone FY26 preliminary results RNS, 12 May 2026 (data.fca.org.uk NSM)*
Free cash flow	1,850	1,795	EUR m	*Vodafone FY26 preliminary results RNS, 12 May 2026 (data.fca.org.uk NSM)*
Equity dividends paid	1,787	1,093	EUR m	*Vodafone FY26 preliminary results RNS, 12 May 2026 (data.fca.org.uk NSM)*
Share buybacks	1,868	2,041	EUR m	*Vodafone FY26 preliminary results RNS, 12 May 2026 (data.fca.org.uk NSM)*
Net debt (company definition)	22,397	25,411	EUR m	*Vodafone FY26 preliminary results RNS, 12 May 2026 (data.fca.org.uk NSM)*
Gross debt	39,960	38,604	EUR m	*Vodafone FY26 preliminary results RNS, 12 May 2026 (data.fca.org.uk NSM)*
Bonds	36,402	33,828	EUR m	*Vodafone FY26 preliminary results RNS, 12 May 2026 (data.fca.org.uk NSM)*
Cash and cash equivalents	11,001	8,982	EUR m	*Vodafone FY26 preliminary results RNS, 12 May 2026 (data.fca.org.uk NSM)*
Short-term investments	5,280	3,431	EUR m	*Vodafone FY26 preliminary results RNS, 12 May 2026 (data.fca.org.uk NSM)*
Lease liabilities	10,826	12,388	EUR m	*Vodafone FY26 preliminary results RNS, 12 May 2026 (data.fca.org.uk NSM)*
Equity credit on hybrids (50%) included in net debt	4,081	3,797	EUR m	*Vodafone FY26 preliminary results RNS, 12 May 2026 (data.fca.org.uk NSM)*
Total funding obligations	30,808	35,239	EUR m	*FY26 results presentation, p.40 (reports.investors.vodafone.com)*
Adj. EBITDAaL before leases	14,625	15,640	EUR m	*FY26 results presentation, p.40*
Adjusted net financing costs (reported)	1,315	819	EUR m	*Vodafone FY26 preliminary results RNS, 12 May 2026 (data.fca.org.uk NSM)*
Gain on bond buybacks inside adjusted financing costs	253	771	EUR m	*Vodafone FY26 preliminary results RNS, 12 May 2026 (data.fca.org.uk NSM)*
Net cash interest received and paid	1,147	1,119	EUR m	*Vodafone FY26 preliminary results RNS, 12 May 2026 (data.fca.org.uk NSM)*
Guarantees over Australia JV loan	1,479	1,031	EUR m	*Vodafone FY26 preliminary results RNS, 12 May 2026 (data.fca.org.uk NSM)*

Events and guidance (single values)

Item	Value	Unit	Source
VodafoneThree buyout cash cost (completed 3 Aug 2026)	4,900	EUR m	*Vodafone RNS / advanced-television.com, 3 Aug 2026. Company: +0.4x pro forma leverage.*
Safaricom: cash paid by Vodacom to Kenya Govt for 15%	1,360	EUR m	*FY26 RNS. Deal completed 30 Jun 2026 (Q1 FY27 trading update).*
VodafoneZiggo sale cash proceeds (expected H2 2026, not yet closed)	1,000	EUR m	*FY26 RNS.*
Include VodafoneZiggo proceeds? (1=yes, 0=no)	-	flag	*Default 0: proceeds not yet received*
Safaricom net debt FY2026 (KES m)	139,810	KES m	*stockanalysis.com, Safaricom FY2026 balance sheet: total debt 166,766 less cash 26,955; may include leases*
EUR/KES rate	159.7	rate	*Vodafone FY27 guidance FX rate, Q1 FY27 update*
FY27 Adj. EBITDAaL guidance ex-Safaricom: low	11,900	EUR m	*FY26 RNS, 12 May 2026*
FY27 Adj. EBITDAaL guidance ex-Safaricom: high	12,200	EUR m	*FY26 RNS, 12 May 2026*
Safaricom EBITDAaL, pro forma 12 months	1,500	EUR m	*FY26 RNS (9-month FY27 impact EUR 1.1bn per Q1 update)*
Leverage policy: top of range	2.75x	x	*FY26 RNS: 2.25x-2.75x, target lower half*
Leverage policy: bottom of range	2.25x	x	*FY26 RNS*
Medium-term cost of debt ambition	3.000%	%	*FY26 results presentation, "c.3% cost of debt"*
Bund 10y yield, 15 Oct 2026	3.380%	%	*Trading Economics, 15 Oct 2026 (news/528735 page)*
Bund 10y yield, 26 Feb 2026	2.700%	%	*Trading Economics, 26 Feb 2026*
New issue concession (bp)	0.0	bp	*IFR: Vodafone's last euro multi-tranche priced tranches flat to fair value and the shortest at -5bp*
Bond maturing: 0.9% Nov 2026 size	750	EUR m	*Vodafone bonds outstanding page (EMTN 0.9% 24 Nov 2026, EUR 750m)*
Bond maturing: 0.9% Nov 2026 coupon	0.900%	%	*Vodafone bonds outstanding page*
Bond maturing: 1.5% Jul 2027 size	357	EUR m	*TradingView XS1652855815, outstanding amount*
Bond maturing: 1.5% Jul 2027 coupon	1.500%	%	*TradingView XS1652855815*

Leverage and coverage trends

EUR m	FY25	FY26	Pro forma A: FY26 + VodafoneThree buyout	Pro forma B: FY27E mid, incl. all deals
Adj. EBITDAaL	10,932	11,351	11,351	13,550
Net debt	22,397	25,411	30,311	32,547
Net debt / Adj. EBITDAaL	**2.05x**	**2.24x**	**2.67x**	**2.40x**
Gross debt	39,960	38,604		
Gross debt / Adj. EBITDAaL	3.66x	3.40x		
Total funding obligations / EBITDAaL before leases	2.11x	2.25x		
Underlying net financing costs (ex buyback gains)	1,568	1,590		
EBITDAaL / underlying net financing costs	6.97x	7.14x		
EBITDAaL / net cash interest	9.53x	10.14x		
Adj. FCF / net debt	11.4%	10.3%		
FCF after dividends and buybacks	(1,805)	(1,339)		
Capital intensity (capex / revenue)	18.3%	18.0%		
Adj. EBITDAaL margin (on revenue)	29.2%	28.1%		
Liquidity: cash + short-term investments	16,281	12,413		
Revenue	37,448	40,461		
Service revenue growth		8.8%		

Pro forma B holds net debt at the post-deal level and ignores FY27 free cash flow after dividends, which would reduce net debt modestly. It annualises Safaricom EBITDAaL (9 months consolidated in FY27 guidance). Safaricom net debt (KES 139.8bn, about EUR 0.9bn) is included; the VodafoneZiggo proceeds are excluded until received (toggle on Inputs).

Sensitivity: pro forma net debt / EBITDAaL (x)

Rows: FY27E EBITDAaL incl. annualised Safaricom (EUR m). Columns: extra net debt on top of the base case (EUR m), e.g. deals or buybacks.

EBITDAaL case	-	1,000	2,000	3,000	EBITDAaL used
Low guidance	2.43x	2.50x	2.58x	2.65x	13,400
Mid guidance	2.40x	2.48x	2.55x	2.62x	13,550
High guidance	2.38x	2.45x	2.52x	2.59x	13,700
Mid less 5% (stress)	2.53x	2.61x	2.68x	2.76x	12,873

Headroom vs leverage policy (Pro forma B)

Threshold	x	Net debt capacity (EUR m)	Headroom (EUR m)	EBITDAaL fall tolerated
Policy: bottom of range	2.25x	30,488	(2,059)	-6.8%
Policy: top of range	2.75x	37,263	4,716	12.7%

Negative headroom means the case sits above that threshold. Company target is the lower half of 2.25x to 2.75x (below c.2.5x).

Own curve and peers: euro senior bonds, spread to Bunds

Prices from Boerse Stuttgart bond pages (yield and "yield spread Bundesanleihe", maturity-matched). Quotes are bid/ask mid-market indications, not trades. Yellow = quote dated 30 Sep, so stale by two weeks.

As-of date 16-Oct-2026

Bond	Maturity	Years to maturity	Coupon	Yield	Spread to Bund (bp)	Quote date	Source
Vodafone own curve							
Vodafone 1.625% Nov 2030	24-Nov-2030	4.1	1.625%	4.050%	88.9	16-Oct-2026	*boerse-stuttgart.de/.../a2r2uh-vodafone-group-plc-eo-medium-term-notes-2019-30*
Vodafone 2.75% Dec 2034	01-Dec-2034	8.1	2.750%	4.550%	101.0	30-Sep-2026	*boerse-stuttgart.de/.../a1zsxb-vodafone-group-plc-eo-med--term-notes-2014-34*
Vodafone 2.875% Nov 2037	20-Nov-2037	11.1	2.875%	4.710%	123.3	16-Oct-2026	*boerse-stuttgart.de/.../a19smk-vodafone-group-plc-eo-medium-term-notes-2017-37*
Vodafone 2.5% May 2039	24-May-2039	12.6	2.500%	4.800%	117.7	16-Oct-2026	*boerse-stuttgart.de/.../a2r2uj-vodafone-group-plc-eo-medium-term-notes-2019-39*

Own-curve fair value at 10 years	
Bracket interpolation (Dec 2034 to Nov 2037), bp	**115.1**
Curve slope across own bonds (bp per year)	3.96
Regression fit at 10 years, 3 longest bonds (bp)	111.4
Interpolation less regression (bp)	3.7

Peers (cross-check only)

Bond	Maturity	Years to maturity	Coupon	Yield	Spread to Bund (bp)	Spread adj. to 10y (bp)	Source
Deutsche Telekom 2.2% Jul 2033	25-Jul-2033	6.8	2.200%	4.220%	89.5	102.3	*boerse-stuttgart.de/.../a193rr-deutsche-telekom-intl-fin-b-v-eo-medium-term-notes-2018-33 (15 Oct)*
Orange 3.25% Jan 2035	17-Jan-2035	8.3	3.250%	4.500%	108.9	115.8	*boerse-stuttgart.de/.../a3l3g9-orange-35 (15 Oct)*
Telefonica 3.941% Jun 2035	25-Jun-2035	8.7	3.941%	4.820%	141.7	146.9	*boerse-stuttgart.de/.../a4ec6e-telefonica-emisiones-... (16 Oct)*
BT 3.75% Mar 2035	01-Mar-2035	8.4	3.750%	4.650%	104.5	110.9	*boerse-stuttgart.de/.../a4eb4m-british-telecommunications-... (30 Sep quote)*

Peer average adjusted to 10 years (bp)		**119.0**
Peer minimum / maximum (bp)	102.3	146.9
Vodafone own curve less peer average (bp)		-3.9

Peers are adjusted to 10 years with Vodafone's own curve slope. No rating adjustment is applied: the price rests on Vodafone's own bonds, and the peer set (a BBB+ and a BBB- name among them) only checks that level is sensible.

Illustrative new issue: Vodafone Group Plc 10-year EUR senior unsecured benchmark

Priced off Vodafone's own secondary curve; peers and a regression are cross-checks. Quoted as a spread to the 10-year Bund.

Step	Value	Notes
Pricing date	20-Oct-2026	*Hypothetical*
Settlement date	27-Oct-2026	*T+7, typical euro corporate*
Tenor (years)	10	*Benchmark 10-year*
Maturity	27-Oct-2036	
Size (EUR m)	1,000	*Benchmark size*
10-year Bund yield (15 Oct 2026)	3.380%	*Trading Economics*
1. Own-curve spread at 10 years (bp)	115.1	*Interpolated between Vodafone Dec 2034 and Nov 2037 bonds*
2. New issue concession (bp)	0.0	*IFR on Vodafone's last euro multi-tranche: flat to fair value, shortest tranche -5bp*
Re-offer spread to Bund (bp)	**115.1**	
Re-offer yield	**4.531%**	*10-year Bund plus spread*
Coupon (rounded down to nearest 1/8%)	4.500%	*Market convention keeps price at or just under par*
Issue price (per 100)	99.758	*Annual coupon, ICMA basis*
DV01 (EUR per 1bp, whole deal)	788,888	*Price sensitivity for investors*

Cross-checks on the own-curve spread

Check	Spread (bp)	Difference vs own curve (bp)
Own-curve interpolation	115.1	0.0
Regression across three longest own bonds	111.4	-3.7
Peer average adjusted to 10 years	119.0	3.9
Peer range, low	102.3	-12.8
Peer range, high	146.9	31.8

The own curve sits inside the peer average and well within the peer range, so no adjustment to the own-curve level is made. The Dec 2034 point is a 30 Sep quote.

Refinancing drag: replacing maturing bonds at the new coupon

Bond maturing	Size (EUR m)	Old coupon	New coupon	Extra annual interest (EUR m)
0.9% Nov 2026	750.0	0.900%	4.500%	27.0
1.5% Jul 2027	357.3	1.500%	4.500%	10.7
Total				**37.7**
New coupon less c.3% cost-of-debt ambition (bp)				150

Price grid at the fixed coupon: price per 100 if the re-offer yield moves. Rows: spread change (bp). Columns: Bund move before pricing (bp).

Spread change / Bund move	-50	-25	0	25	50
-20	105.475	103.387	101.351	99.364	97.425
-10	104.634	102.567	100.550	98.583	96.663
0	103.801	101.754	99.758	97.809	95.908
10	102.976	100.950	98.973	97.043	95.161
20	102.160	100.153	98.195	96.285	94.421

Calibration: the real Feb 2026 15-year print against today's curve

Item	Value	Source / note
Coupon	4.125%	*Cbonds new-issue notice (EUR 500m due 27 Apr 2041)*
Issue price (per 100)	98.515	*Cbonds*
Reported yield at issue	4.261%	*Cbonds*
Settlement (assumed T+7 from 24 Feb pricing)	03-Mar-2026	*Convention*
Maturity	27-Apr-2041	*Cbonds*
Yield recomputed from price	**4.259%**	
Difference vs reported (bp)	-0.2	*A tie within 0.5bp confirms the price and yield mechanics used in DCM_Pricing*
Feb 2026 print over the 10-year Bund (bp)	156.1	*Bund 10y 2.70% on 26 Feb 2026*
Today: Vodafone 2.5% May 2039 over the 10-year Bund (bp)	142.0	*Closest own bond to a 15-year; 12.6 years left*
Bund 10y move since Feb (bp)	68.0	
Actual change in Vodafone long-end yield (bp)	53.9	*2039 bond today vs 2041 print*
Maturity roll-down on own curve (bp)	-10.1	*Own-curve slope x 2.5 years shorter*
Expected change: Bund move plus roll-down (bp)	**57.9**	
Residual: spread change not explained (bp)	-4.0	*Small residual: the own curve today is consistent with the real Feb print once the Bund move is allowed for*
Modelled new 10-year yield (DCM_Pricing)	4.531%	
Less Feb 2026 15-year yield (bp)	27.0	*Higher mainly because Bunds are up; the shorter tenor offsets part of it*

Market conventions: investment-grade vs high-yield euro senior notes

General market convention, shown to frame how an IG issuer such as Vodafone differs from a HY issuer. Vodafone-specific facts are sourced in the notes column.

Term	Investment grade	High yield	Vodafone fact and source
Issuer / ranking	Parent-level senior unsecured	Often holdco or opco with guarantees; secured or unsecured	Vodafone Group Plc and Vodafone International Financing DAC issue under one EMTN programme (vodafone.com bonds outstanding)
Programme size	EMTN programme	Standalone indenture	EUR 30bn EMTN programme (vodafone.com bonds outstanding)
Coupon basis	Fixed, annual, ICMA Act/Act	Fixed or FRN, semi-annual common	Annual coupons on the EUR bonds in Comps
Call features	Make-whole call, short par call before maturity, tax call	Non-call period then stepped call prices	Not reviewed for Vodafone
Financial covenants	None maintained	Incurrence tests: fixed charge cover, leverage, restricted payments	Discipline is by policy: net debt / EBITDAaL 2.25x to 2.75x, lower half targeted (FY26 results)
Negative covenants	Limited protections	Extensive package: debt, liens, asset sales, dividends	Not reviewed for Vodafone
Events of default	Non-payment, breach, cross-default, insolvency	Same plus covenant breach	Not reviewed for Vodafone
Pricing basis	Spread over mid-swaps (EUR), Gilts (GBP), Treasuries (USD)	Yield or spread to benchmark	Vodafone marketed its last euro multi-tranche over mid-swaps (IFR)